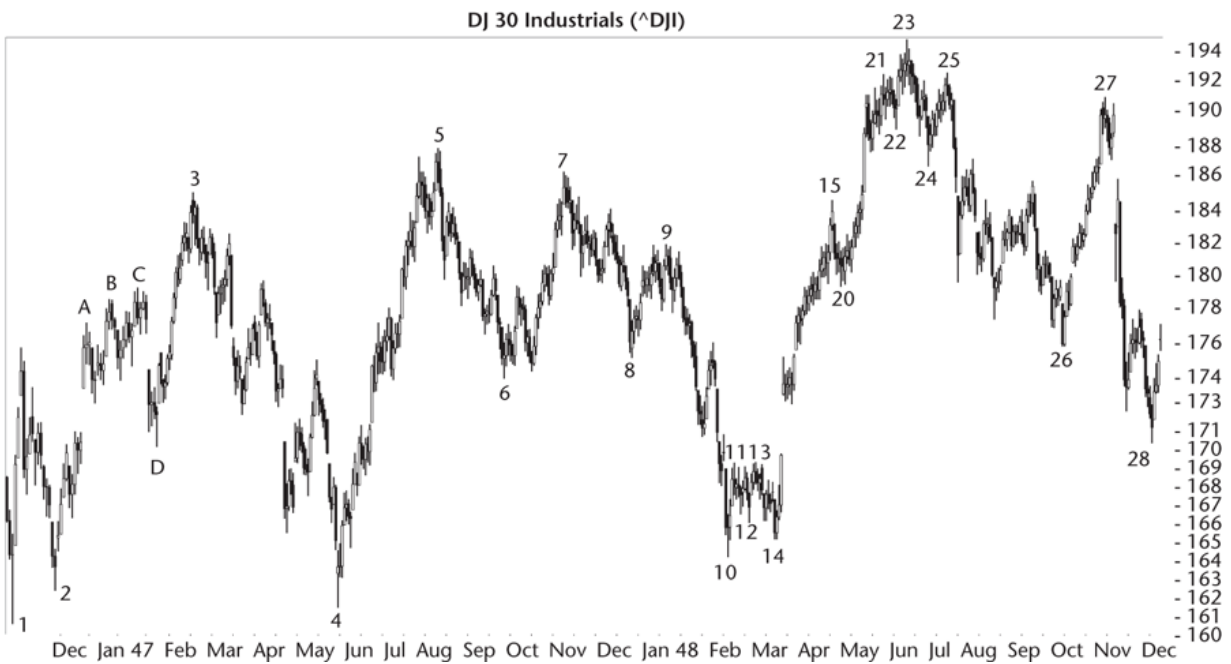


Points	Discussion
25–27	Price drops from 25 and forms a wave 26–27, which may mirror the roof from 15–20. Point 27, if tall enough, may be the right shoulder of a head-and-shoulders top formed by the move from 21–25.
27–28	Price drops all the way back to the level of point 10 (or close to it). The drop may be a straight-line run down or it may have several retraces, but price will eventually make it to the price of 10 (in theory).

Consider [Figure 62.2](#), which is a pattern Lindsay highlights in the chapter. Turns 1 and 2 are the base Lindsay says to ignore as unimportant. Point 2 leads to the first of three peaks, 3, 5, and 7, which includes valleys 4, 6, and 8. Notice how point 4 in this example retraces the entire move up from 2 and more. Valleys 6 and 8 bottom near the same price.



[Figure 62.2](#) This three peaks and domed house has a few variations.

The drop from peak 7 takes price down to 10 but includes two waves, 7–8 and 9–10. Point 10 must be lower than 4 or 6, that it is (it's below 6 but not 4).